Varieties of capitalism within Europe and the German model

Corporate Governance · Session 14 · Source: Lecture 4 deck ("Variety of Capitalism within Europe. Corporate Governance, Stability, and Innovation: The Evolving European Capitalism")

By the end of this session you should be able to explain the varieties of capitalism approach (institutions, complementarities, LME versus CME), and describe the German model: co-determination, the two-board structure, the historical role of banks, the German Corporate Governance Code, and how the model balances competitiveness with social protection.

> **Plan**
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1. The varieties of capitalism idea

The starting point of the deck: several forms of capitalism exist. Different countries have different economic institutions, different inter-firm relations and different structures of firms.

- Differences in the **institutional framework** produce differences in **corporate strategies**: the rational response depends on the context.
- **Institutional complementarities:** the functioning and efficiency of one institutional structure in one area depends on the structure of institutions in other areas.

Three implications follow:

- Institutions tend to come in **packages**.
- Institutional reform in one area alone is **difficult**.
- There is **no single best practice** in one area of the economy, independent of the context.

2. Institutions and institutional complementarities

> **Institutions (D. North, 1990):** the humanly devised constraints that shape interaction. In consequence, they structure incentives in human exchange, whether political, social, or economic.

- **Formal institutions** are established by laws, regulations and legal orders that prescribe what may or may not be done.
- **Informal institutions** are conventions, norms, values and accepted ways of doing things.

> **Institutional complementarities (Aoki, 1994):** institutions are complementary if the presence (or efficiency) of one increases the return from (or efficiency of) the other.

Strategic interactions among firms, supported by different national institutions, create different equilibria: models of capitalism.

> **Example, the German manufacturing system:** high quality standards, a diversified product range and customization require skilled labor, which in turn supports high productivity and high wages. Preserving firm-specific skills requires complementary labor market institutions: dual apprenticeships (occupation-specific skills), dismissal protection (longer job duration) and collective bargaining (stable wages). Experienced workers who do not face easy dismissal have incentives to keep investing in firm-specific skills, then pass their knowledge to younger workers, so firm-specific knowledge is preserved.

3. LME versus CME: market versus coordination

- In **liberal market economies (LMEs)**, equilibrium outcomes of firm behavior usually come from demand and supply conditions in competitive markets.
- In **coordinated market economies (CMEs)**, equilibria are more often the result of **strategic interaction** among firms and other actors. The relevant institutions are those that reduce the uncertainty actors face about the behavior of others, providing capacities for the exchange of information, the monitoring of behavior, and the sanctioning of defection from the cooperative endeavor.

Examples of CME institutions: powerful business or employer associations, strong trade unions, extensive cross-shareholding networks, and legal or regulatory systems designed to facilitate information-sharing and collaboration.

The deck maps the two families of capitalism: plotting employment protection against stock market capitalization cleanly separates the coordinated economies (Germany, Austria, Italy, France, Belgium, Finland, Denmark, the Netherlands, Japan), with high employment protection and smaller stock markets, from the liberal economies (United States, United Kingdom, Canada, Australia), with low employment protection and large stock markets.

The deck opens with a quote from Breuer contrasting Germany's worker-employer decision-making (unions and employee representatives balancing interests over many years) with the "Anglo-Saxon hire-and-fire employment model".

4. Building the German model: from post-war to the Co-determination Act

- Not just **Ordoliberalism**, but also **Soziale Marktwirtschaft** (the social market economy): US influence on the new German economy together with a strong German accent.
- This mix lies at the origin of the German **Wirtschaftswunder** (the post-war economic miracle).
- **1965:** a new company law gave more power to the supervisory board.
- **1976:** the **Co-determination Act** (Mitbestimmung) generalized worker representation in supervisory boards.

5. The two boards: Aufsichtsrat and Vorstand

> **Aufsichtsrat (supervisory board):** non-executive independent directors with a five-year term; 50% appointed by shareholders, 50% workers' representatives, under the Co-determination Act 1976.

> **Vorstand (management board):** executive directors, also on five-year terms.

The structure as one diagram, read from the slide: **employees and labour unions appoint 50% of the supervisory board**, and **shareholders appoint the other 50%**; the supervisory board **appoints and supervises the management board** (which includes a labour relations officer); the management board **manages the company**; shareholders **own** the company.

How co-determination works in practice:

- A sort of **governing coalition**: social groups pursue their specific interests without turning against the other social actors.
- **Wage bargaining is separated from co-determination issues**: pay negotiations happen outside the boardroom.
- Social groups, more than individuals, sit in the supervisory boards, which builds cohesion.
- **Supervising is different from intervening**: the supervisory board monitors, it does not manage.

6. Gemeinschaft versus Gesellschaft

The deck grounds the German model in a classic sociological divide:

> **Gemeinschaft (community):** an association in which individuals are oriented to the large association as much as, if not more than, to their own self-interest. Members are regulated by common mores, shared beliefs about appropriate behavior and responsibilities to each other and to the association at large; associations are marked by "unity of will".

> **Gesellschaft (society):** associations in which, for the individual, the larger association never takes precedence

over self-interest, and which lack the same level of shared mores. In a modern business, workers, managers and owners may share few orientations or beliefs and may not care deeply about the product; it is in all their self-interest to come to work to make money, and thus the business continues.

The German model leans towards Gemeinschaft inside the firm; the Anglo-Saxon model towards Gesellschaft.

7. The historical control by banks and its decline

Controlling devices of the past:

- **Proxy votes:** possible in all the AG (joint stock companies).
- **Control by the banks:** proxy voting permitted the banks to influence the composition of the board.

Mid-1990s evidence from the deck (votes at the 1992 annual general meetings):

Company	% votes attending AGM	% of these cast by all banks	% cast by the "big three" (Commerz, Deutsche, Dresdner)
BASF AG	50.4	94.7	40.4
Linde AG	60.0	99.1	57.9
Siemens AG	52.7	95.5	34.6
Volkswagen	38.3	44.1	15.1
Commerzbank AG	48.2	97.6	48.3
Bayer AG	50.4	94.7	40.4

Reading: at most large AGs in 1992, banks cast the overwhelming majority of votes present, and the three big commercial banks alone often cast a third to a half.

8. The German Corporate Governance Code (KODEX)

How it came about:

- After well-publicized failures in former blue-chip companies, the German government recognized the practical importance of good corporate governance.
- **July 2000:** the Chancellor convened the first Government Commission on Corporate Governance to develop official standards.
- **September 2001 to February 2002:** the second Government Commission developed the German Corporate Governance Code, presented to the Ministry of Justice in February 2002.

Content of the KODEX:

- Dual structure (Aufsichtsrat and Vorstand).
- Deviations to be disclosed.
- One share, one vote (in principle).
- Pre-emptive rights (existing shareholders may acquire new shares first).
- Duties of management board members; supervisory board members' remuneration.
- Conflicts of interest.
- Committees inside the supervisory board.

The Code contains three types of rules:
• **Legal rules** (mandatory), for instance one share one vote.
• **Recommendations** (no legal obligation to comply), for instance the gender issue or the number of independent members of the supervisory board.
• **Suggestions** (no legal obligation to comply), for instance introducing all elements of transparency and comprehensibility to strengthen the confidence of investors, clients, employees and the general public in the management and supervision of German listed companies.

New rules about the proxy right (weakening the banks' old device):

- Banks must inform customers whose shares they administer that they may choose to have voting rights exercised by the bank **or by a shareholder association**.

- A bank must inform customers when it holds **5% or more of the voting rights**, if the company is listed or if the bank was a member of the company's most recent underwriting syndicate.
- The bank must advise customers when one of its managers or employees sits on the company's management or supervisory board.
- Independent bodies have since emerged as additional actors.

9. Stability instead of strong economic policy, and how Germany is changing

The German model's economic strategy:

- Confines economic policy to a **limited role**: rather than stimulating activity, it pursues **stability**, with the State mainly ensuring economic and social order so that competition can function virtuously.
- Growth relies entirely on **business competitiveness**.
- Unlike the Anglo-Saxon and French models, where economic performance and social protection are partly in conflict, the German model aims to reconcile them and create a **dynamic balance** between competitiveness and the need for social protection.

How Germany is changing, in good and bad directions:

- **Reduction of the concentration in ownership structure.**
- The open question, quoted from The Economist (2009): does the company belong to shareholders or to stakeholders?

Must know:
• VoC: institutions come in packages; complementarities make single-area reform hard and rule out one best practice for all countries.
• LME = market-based equilibria; CME = equilibria from strategic interaction, supported by information exchange, monitoring and sanctioning institutions.
• Germany: 1965 company law strengthened the supervisory board; the 1976 Co-determination Act gives workers 50% of the Aufsichtsrat; the Vorstand manages.
• Co-determination works because wage bargaining stays outside the board and supervising differs from intervening.
• Banks historically controlled AGs through proxy votes (often 90%+ of votes present in 1992); disclosure rules and the 2002 KODEX broke that pattern.
• KODEX: legal rules, recommendations and suggestions; comply or disclose deviations.
• The model's goal: stability and a dynamic balance between competitiveness and social protection, not activist economic policy.

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